

It can all seem a bit confusing so let's go over a real example: GameStop in 2021.

When shorting goes wrong: GameStop

Remember how in [chapter 5](#) I spoke about hedge funds making risky moves to try beat the market? Shorting stocks is one of them.

Some hedge funds saw GameStop as a company that was on the downfall, so they shorted it: essentially, they bet its stock price would drop. However, if the stock price went up they'd lose money.

Essentially, the hedge fund borrows (doesn't buy) a stock of GameStop, which at the time is around \$10, from a broker. They sell it for \$10 to an investor. They promise to buy back the stock from the investor at a certain time, regardless of its price at that time. So if the price of GameStop has dropped down to \$7 by the time they have to buy it back, they buy that stock back from the investor for \$7, making \$3.

They borrowed a stock for free, charged someone \$10 to buy it off them and then paid \$7 for it back. The hedge fund has now profited \$3. They then give the borrowed stock back to the broker. See [figure 11.1](#) for an illustration of this.